4.3 Inflation and Bubbles

Video: Inflation and Bubbles and Tulips (Crash Course Economics)

Why Inflation Matters to You

If you get a 2% raise but prices rise 5%, you did not get a real raise. You are losing 3% of your _____.

Purchasing power tells you how much physical stuff you can actually consume. A rise in prices is effectively the same thing as a cut in wages.

Measuring Inflation

Economists pick a list of goods an average consumer buys in a year, called a _____, and add up its price each year.

Divide each year's basket cost by the basket cost in the _____ and multiply by 100. This gives the _____ (CPI), the most commonly used measure of inflation.

Term	Meaning
	A price from the past that has been adjusted for inflation
	A price from the past that has not been adjusted for inflation

The CPI is not perfect. A traditional CPI does not adjust for new products or increases in product quality.

For the past 25 years, prices in Japan have been falling slightly. Economists call that _____. In Venezuela, inflation was nearly 70% at the end of 2014.

What Causes Inflation?

Type	Cause
	People have a lot of money and bid up the prices of things: "too much money, chasing too few goods"
	A _____, such as an oil shortage, raises production costs so producers make less

Either way, inflation is the result of having more money than goods and services.

Venezuela's government tried to keep the economy growing by _____, which resulted in soaring prices.

Price Changes That Are Not Inflation

Chocolate prices rose because of a simple _____ story: higher demand for cocoa beans plus disease and drought that limited harvests.

Bubbles

Between 2001 and 2006, home prices moved away from the fundamentals in what economists call a _____. Low _____ and deceitful lending practices encouraged more people to buy homes.

People assumed prices would rise forever and bought homes hoping for a huge profit. This is called _____.

A bubble depends on an ever increasing supply of _____. Eventually you run out of buyers and the bubble bursts.

Late 1990s: a stock market bubble in companies tied to the _____; the market collapsed in early 2000.
1630s: Dutch _____, when people traded up to ten years' salary for a single tulip bulb.

Think About It

The video says knowing economics can help you negotiate a real raise, adjusted for inflation. If prices rose 4% this year, what raise would you need to come out ahead, and why?

_____